

SOUTH SUDAN

Table 1 2022

Population, million	11.4
GDP, current US\$ billion	5.2
GDP per capita, current US\$	457.9
International poverty rate (\$2.15) ^a	67.3
Lower middle-income poverty rate (\$3.65) ^a	86.5
Upper middle-income poverty rate (\$6.85) ^a	96.6
Gini index ^a	44.1
School enrollment, primary (% gross) ^b	73.0
Life expectancy at birth, years ^b	55.0
Total GHG emissions (mtCO2e)	60.6

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2016), 2017 PPPs.

b/ WDI for School enrollment (2015); Life expectancy (2021).

Falling oil production will drag on growth for a fourth consecutive year, albeit at a lessening pace. Climate and external shocks, declining official development assistance, coupled with structural challenges related to weak governance, inadequate service delivery, and ongoing localized conflict, contributed to high levels of food insecurity and widespread extreme poverty. The conflict in Sudan poses acute downside risks to South Sudan's macroeconomic stability amid limited fiscal resources and pressing humanitarian needs.

Key conditions and challenges

A decade after independence, South Sudan's development prospects remain constrained by fragility amid localized/inter-communal conflict. A 2018 peace agreement ended five years of civil war; however, the transition period needed for its full implementation has been extended until 2025. The country is vulnerable to climate change and external shocks. Oil accounts for nearly all exports and around 90 percent of government revenues. A modest economic recovery in 2019 was upended by historic floods and the COVID-19 pandemic.

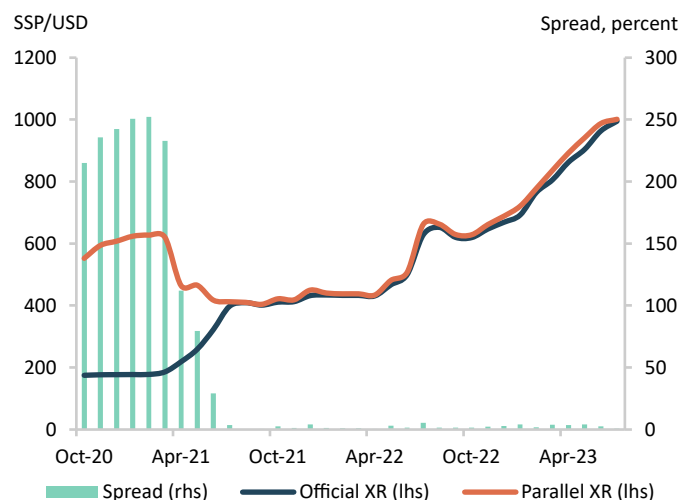
Since 2021, reforms initiated under an IMF staff-monitored program have helped improve macroeconomic and price stability. Higher oil prices following the war in Ukraine have supported foreign exchange buffers and fiscal revenues, although expenditures have also increased. Poverty remains dire, with 7 in 10 people living in extreme poverty. Some 8.9 million people, comprising 78 percent of the population, face severe food insecurity, which is made worse by higher global food prices and domestic floods. In addition, 2.2 million people are internally displaced (55 percent of whom are women and girls), and 2.3 million remain refugees in neighboring countries. South Sudan is receiving returnees and refugees displaced by the conflict in Sudan. About 140,000 people have crossed

the border since April 2023, of which 91 percent are South Sudanese returnees. External risks stem from adverse global oil and food price developments; acute macroeconomic risks will materialize if oil pipeline routes through Sudan are disrupted by the conflict there. Implementing the 2018 peace deal is essential for domestic peace and the resumption of growth. Macroeconomic, governance, and transparency reforms need to be urgently implemented to ensure scarce resources are spent on development needs and to facilitate a sustainable and inclusive economic recovery. Reforms and investments are especially critical in agriculture, which supports livelihoods for 80 percent of the population; these will help to support diversification away from the oil sector, create jobs, and build resilience to climate change.

Recent developments

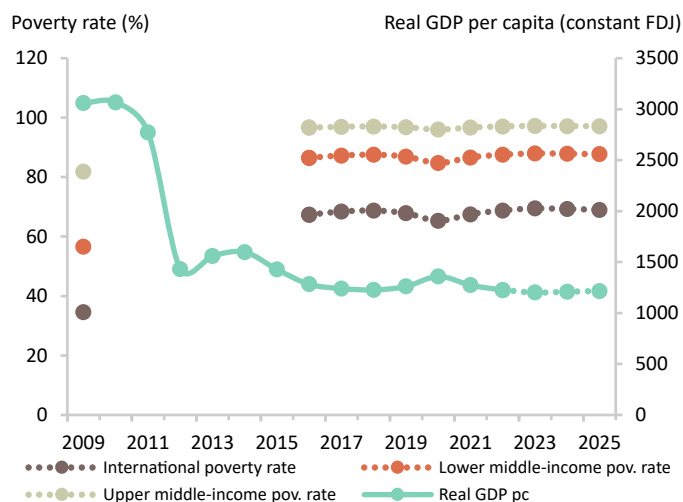
Economic activity remained weak in FY2022/23 due to a fourth consecutive year of flooding and reduced agricultural yields, flare-ups of violence, and higher food inflation due to the war in Ukraine and lingering impacts of the COVID-19 pandemic. Oil production fell by 8.8 percent in FY2022/23 due to floods and low investments in oil fields. These dynamics reduced households' purchasing power and worsened food insecurity. GDP is estimated to have contracted by 0.4 percent in FY 2022/23, following a 2.3 percent decline the previous year.

FIGURE 1 South Sudan / Exchange rate developments



Sources: Bank of South Sudan and World Bank.

FIGURE 2 South Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

After briefly turning negative at end-2022, inflation averaged 18 percent between January and July 2023 due to the weakening currency. Despite the onset of the conflict in Sudan and drawdowns on foreign exchange reserves at the central bank, the premium over the official exchange rate has remained narrow (below 1 percent), indicating improved open market operations under the term deposit facility, newly introduced instrument by the central bank, and regulatory tightening on parallel market operators. Notwithstanding higher oil revenues, fiscal pressures proved greater than anticipated in FY2021/22. Expenses exceeded planned outlays by 68 percent, causing the government to revert to oil advances and monetary financing of the fiscal deficit in mid-2022. Higher oil prices, and revenue and customs administration reforms lifted overall revenues by 83 percent in real terms. The FY2023/24 draft budget envisages increases in capital expenditures, a 130 percent increase in public sector salaries to protect against the impacts of inflation, and rising transfers to regions, which will further widen the fiscal deficit and may require the government to either accumulate salary arrears or deficit monetization. Data for FY23Q1 show continued

overdrafts at the central bank and use of oil advances to finance the budget. Public financial management reforms to strengthen expenditure controls and cash management have been initiated, including an integrated financial management system. But there is limited transparency on oil revenues, including servicing of non-concessional external debt. South Sudan remains at high risk of debt distress for both external and domestic debt. Despite increased oil receipts and weaker demand for capital imports, the current account balance widened in line with rising food import costs, increased repatriation of investor profits, and continued transfers to Sudan as part of the transitional financial arrangement under the peace deal.

Outlook

Growth is expected to remain negative in FY2023/24, with oil production projected to drop by 7 percent. Nonetheless, higher government current spending and expanding domestic credit should support a recovery in the non-oil sector, with farm output also expected to improve as floods eventually recede.

Over the medium term, growth should rise to above 2 percent as oil output recovers and non-oil activity improves, supported by higher government outlays on critical public investments, health, and education, and moderating inflation. This outlook is predicated on prudent monetary and fiscal policies that anchor macroeconomic stability; progress on governance, transparency, and structural reforms; and steady implementation of the peace deal. The pressure on the current account balance is expected to increase due to higher debt-service obligations, a decline in oil prices, and a decline in international aid.

Poverty is tenacious expected to remain stagnant at around 70 percent in the medium term as real growth prospects are limited. Addressing this reinforces the urgency of fiscal and PFM reforms that generate budgetary resources to increase social expenditures. While efforts to modernize tax administration using digital solutions and expand the tax base will help, fiscal pressures will remain substantial given sizable debt-service obligations, a reduction in legacy arrears, and increasing social and humanitarian expenditures. It is thus also vital to strengthen the management and transparency of oil revenues.

TABLE 2 South Sudan / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2020	2021	2022	2023e	2024f	2025f
Real GDP growth, at constant market prices	9.5	-5.1	-2.3	-0.4	-0.2	2.1
Real GDP growth, at constant factor prices	9.5	-5.1	-2.3	-0.4	-0.2	2.1
Agriculture	6.0	-4.0	-1.8	-1.4	2.8	2.8
Industry	27.5	-2.3	-4.8	-5.4	-4.1	0.5
Services	-9.6	-9.7	1.7	7.7	4.5	4.0
Inflation (consumer price index)	33.3	43.1	22.0	18.0	16.1	8.5
Current account balance (% of GDP)	-20.3	-5.5	-1.5	1.9	1.9	1.8
Net foreign direct investment inflow (% of GDP)	-0.4	0.9	1.0	-0.3	-0.6	-0.9
Fiscal balance (% of GDP)	-9.8	-6.8	-6.1	-4.1	-4.6	-4.9
Revenues (% of GDP)	29.5	30.9	30.1	31.2	30.5	30.2
Debt (% of GDP)	40.7	57.6	59.5	52.3	53.2	55.9
Primary balance (% of GDP)	-7.8	-4.4	-4.0	-2.8	-3.5	-3.5
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	65.3	67.5	68.8	69.5	69.3	69.0
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	84.7	86.6	87.6	88.0	87.9	87.7
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	96.1	96.7	97.1	97.2	97.2	97.1
GHG emissions growth (mtCO₂e)	-0.2	0.6	0.1	0.0	0.1	0.4
Energy related GHG emissions (% of total)	3.0	2.9	2.9	2.9	3.0	3.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2016-HFS-W3. Actual data: 2016. Nowcast: 2017-2022. Forecasts are from 2023 to 2025.

b/ Projection using neutral distribution (2016) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.